Fundraising from Individuals

Personal Experiences to Marketing

Jonathan Oxley, Ph.D.
Department of Public Management and Policy
Andrew Young School of Policy Studies
Georgia State University

PMAP 8213/3213 Week 4

Table of Contents

1. The Personal Side of Philanthropy
2. The Philanthropic Context for Fundraising
3. The Theory of Fundraising
4. Using Marketing for Fundraising

The Philanthropic Autobiography

- One of the biggest drivers in motivating behavior stems from an authentic belief in the product
- The best source of authenticity is one's self and this can be motivated through a philanthropic autobiography
  - Wat are some of your defining philanthropic moments?
  - Who are your philanthropic role models?
  - What is the most meaningful gift you've received?
- As fundraisers, we can utilize our philanthropic autobiography to present authentic belief in the organization
- We can also use this tool to get donors to think internally before acting externally

A Worldwide Phenomenon

- Fundraising requires a localized perspective
- Nevertheless, the population of donors is global
- Philanthropy is a part of every culture across every time and place
- The sector moves the world towards a more pluralistic place
- As a part of this, the sector also has a responsibility in promoting social justice and equity across all races, ethnicities, genders, and cultural beliefs

Core Fundraising Tenants

- Fundraising must be a case for support
- The organization should build a strong culture of philanthropy
- Fundraising should integrate donors into the organization to carry out the mission
- Fundraisers need to have confidence in the work
- Fundraising must be grounded in ethics
- Donations are always voluntary
- Fundraisers have a professional responsibility to serve as role models for generous behavior

Table of Contents

1. The Personal Side of Philanthropy
2. The Philanthropic Context for Fundraising
3. The Theory of Fundraising
4. Using Marketing for Fundraising

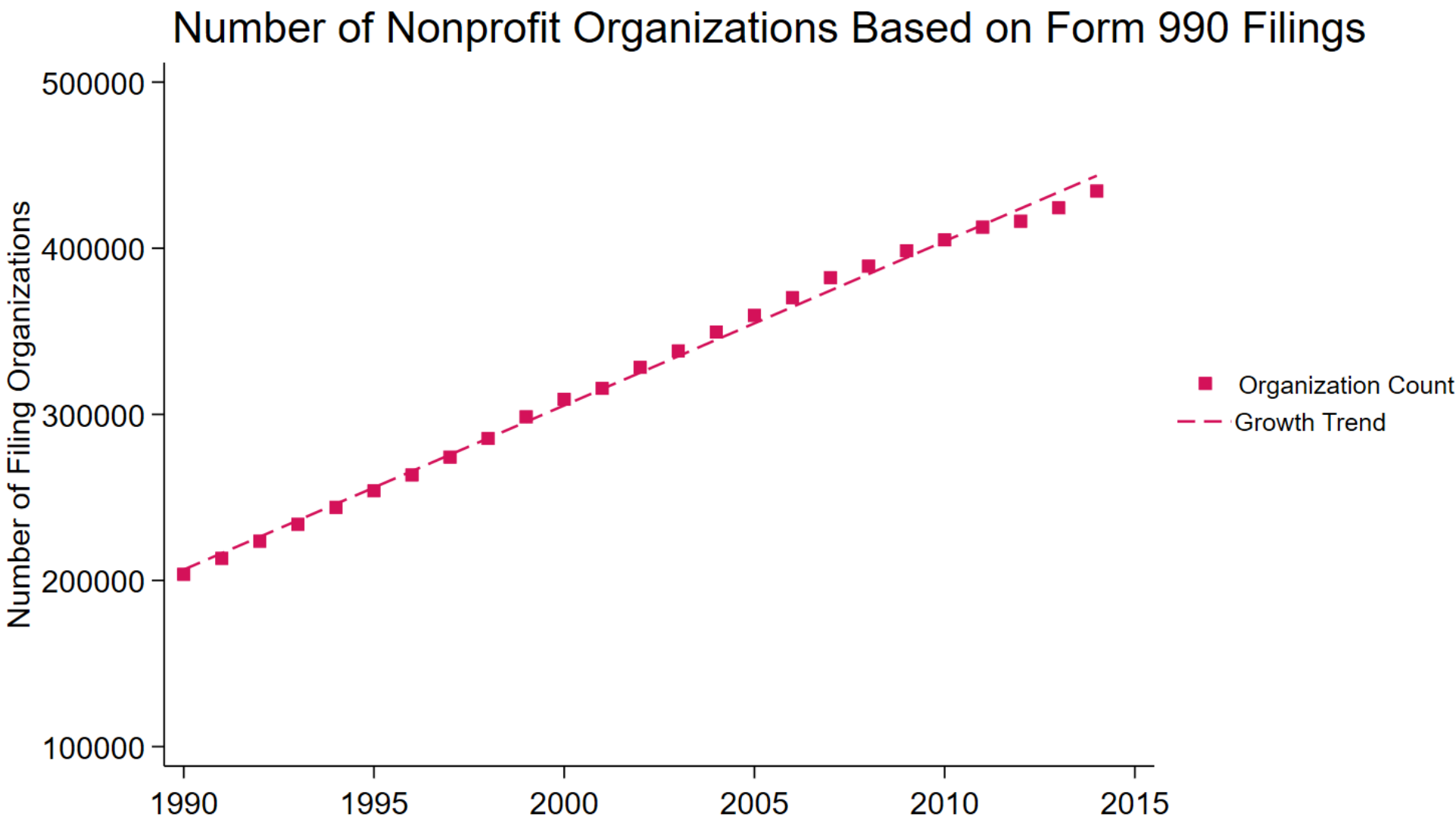
Contemporary Challenges

- Decrease in percentage of Americans giving and volunteering
  - Down to approximately 50%
  - Crosses the rural and urban divide
- Political challenges surrounding the public and private approaches to addressing persistent social issues and inequities
- Tension between wealth and power differences in donors and recipients

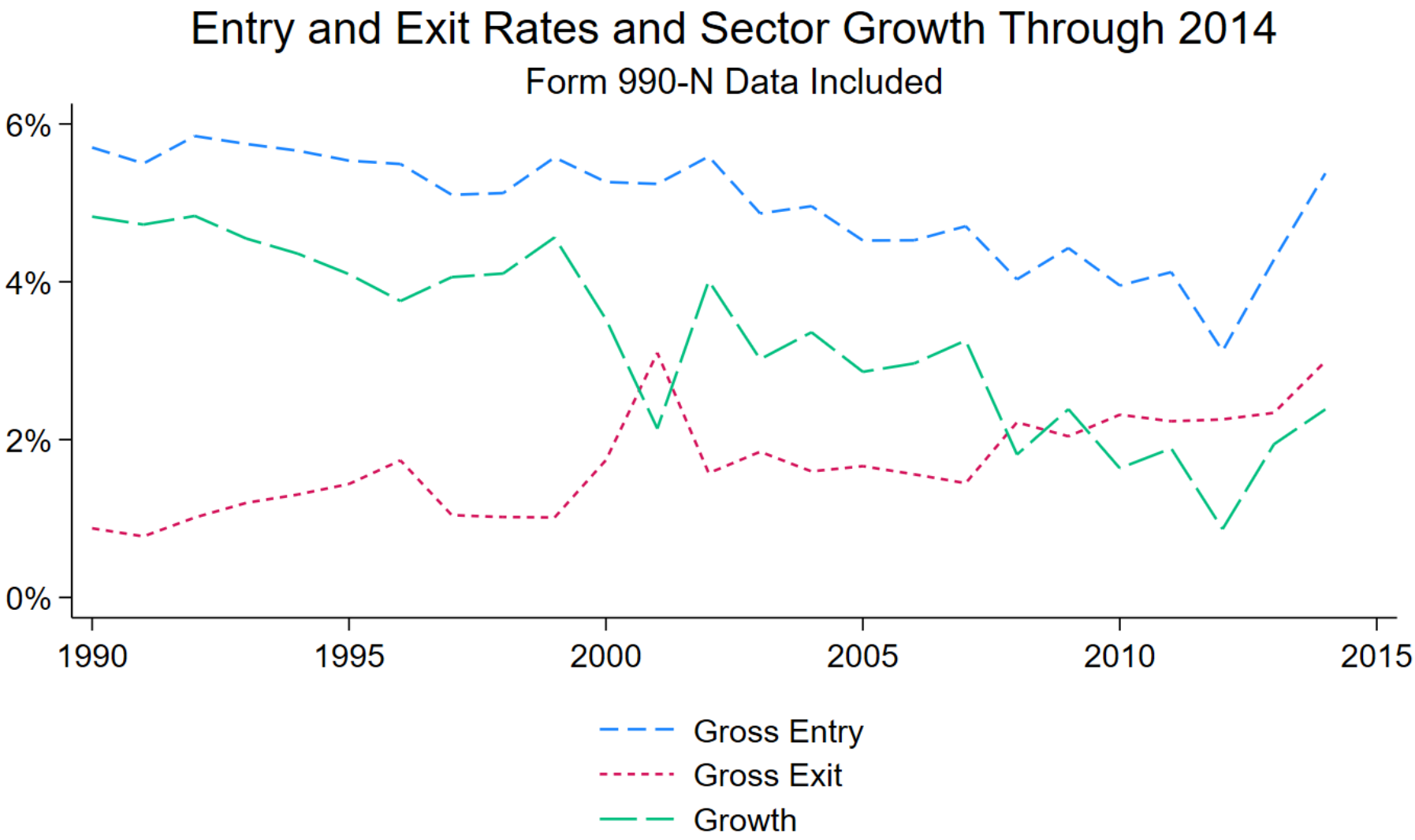
Size of the Sector

- There are approximately 1.54 million nonprofits registered with the IRS (as of 2016)
- The vast majority of these organizations are 501(c)(3) public charities, accounting for roughly 1 million of the organizations
- Approximately half of these registered organizations are *very* small
  - Receiving less than $50,000 in gross receipts
- As we have discussed previously, contributions have now exceeded over half a trillion dollars
- Nearly 1/3 of all Americans volunteer to an organization, or 30.3%

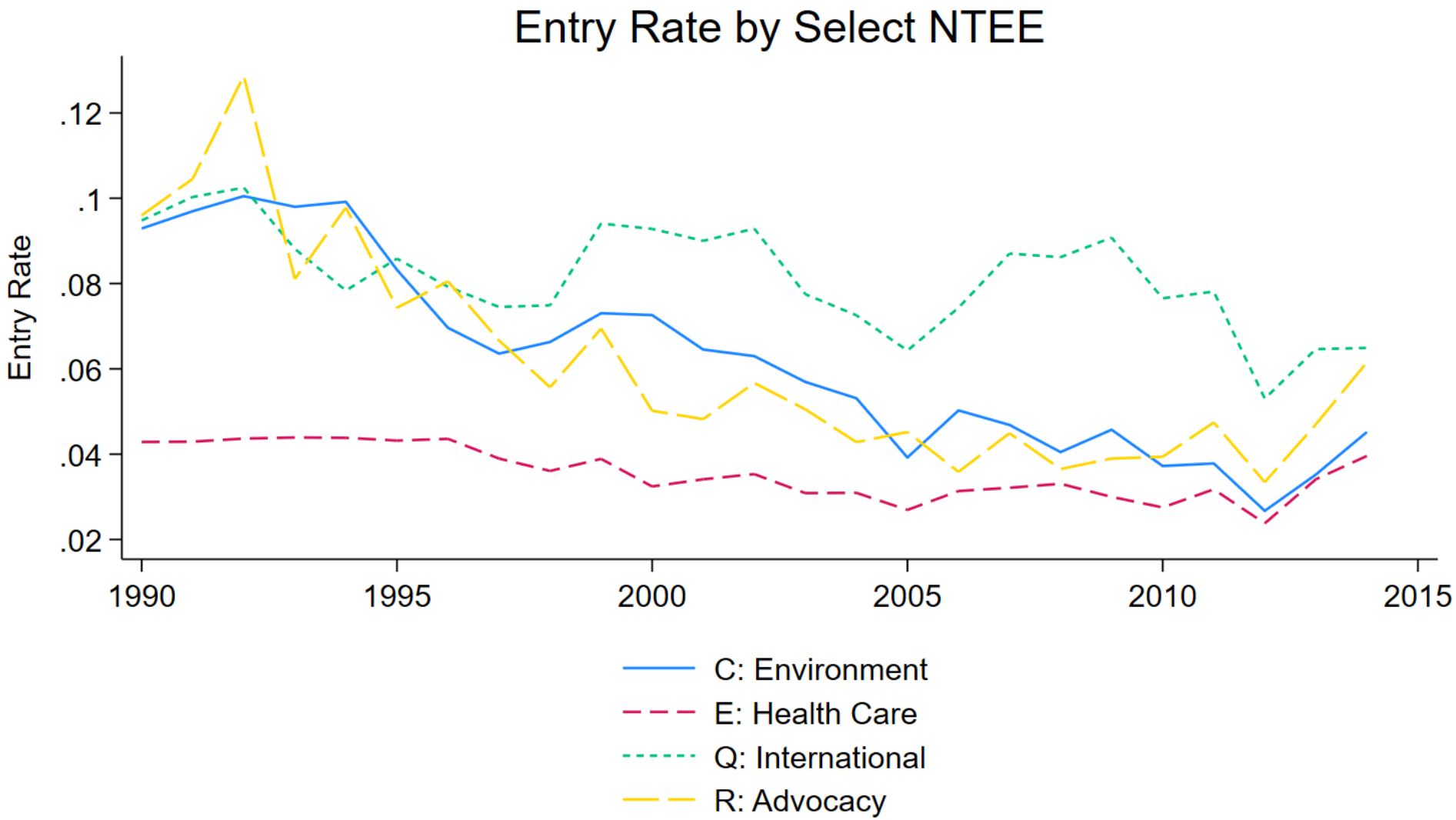
Sector Growth



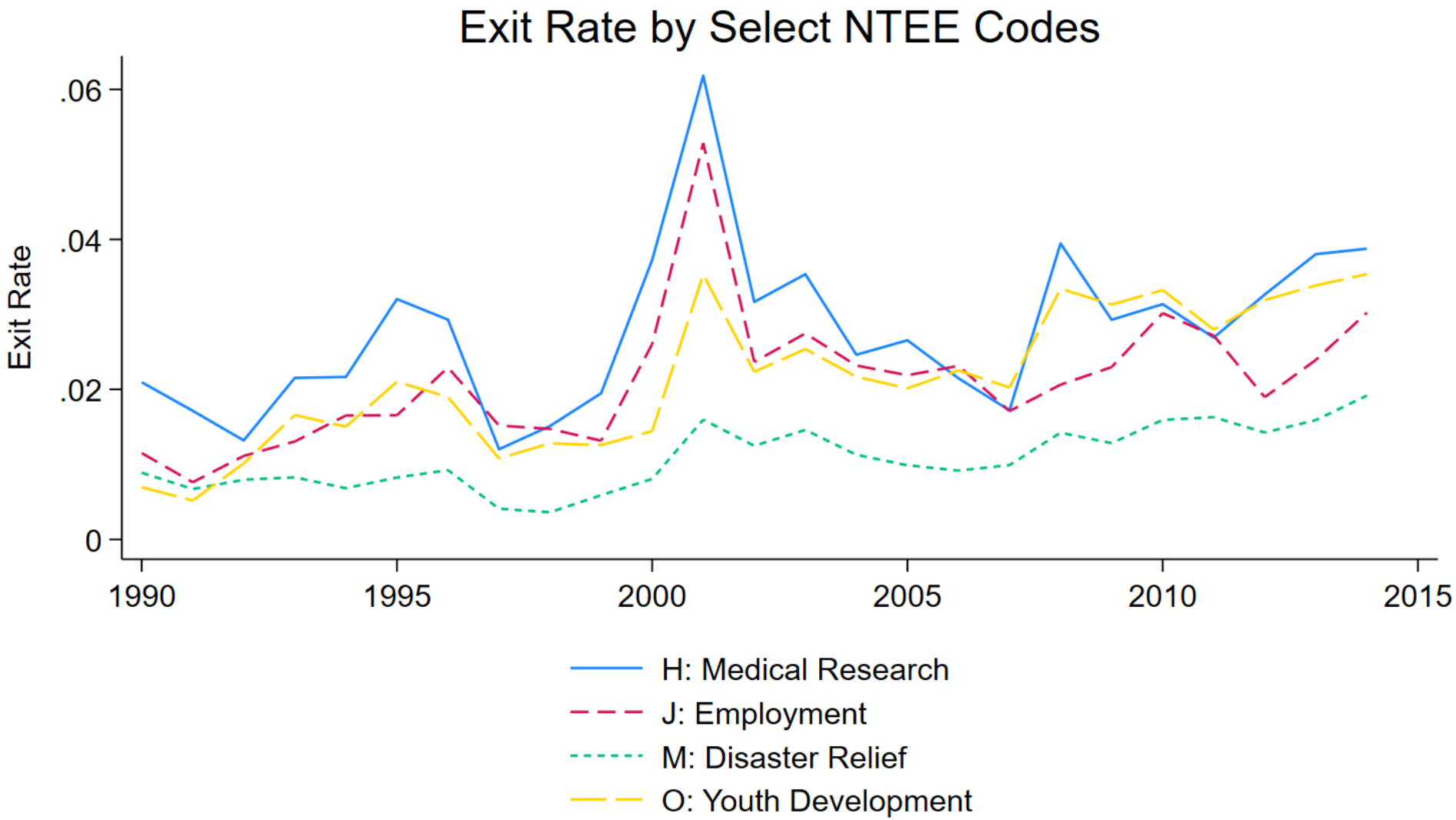
Charity Entry and Exit Rates



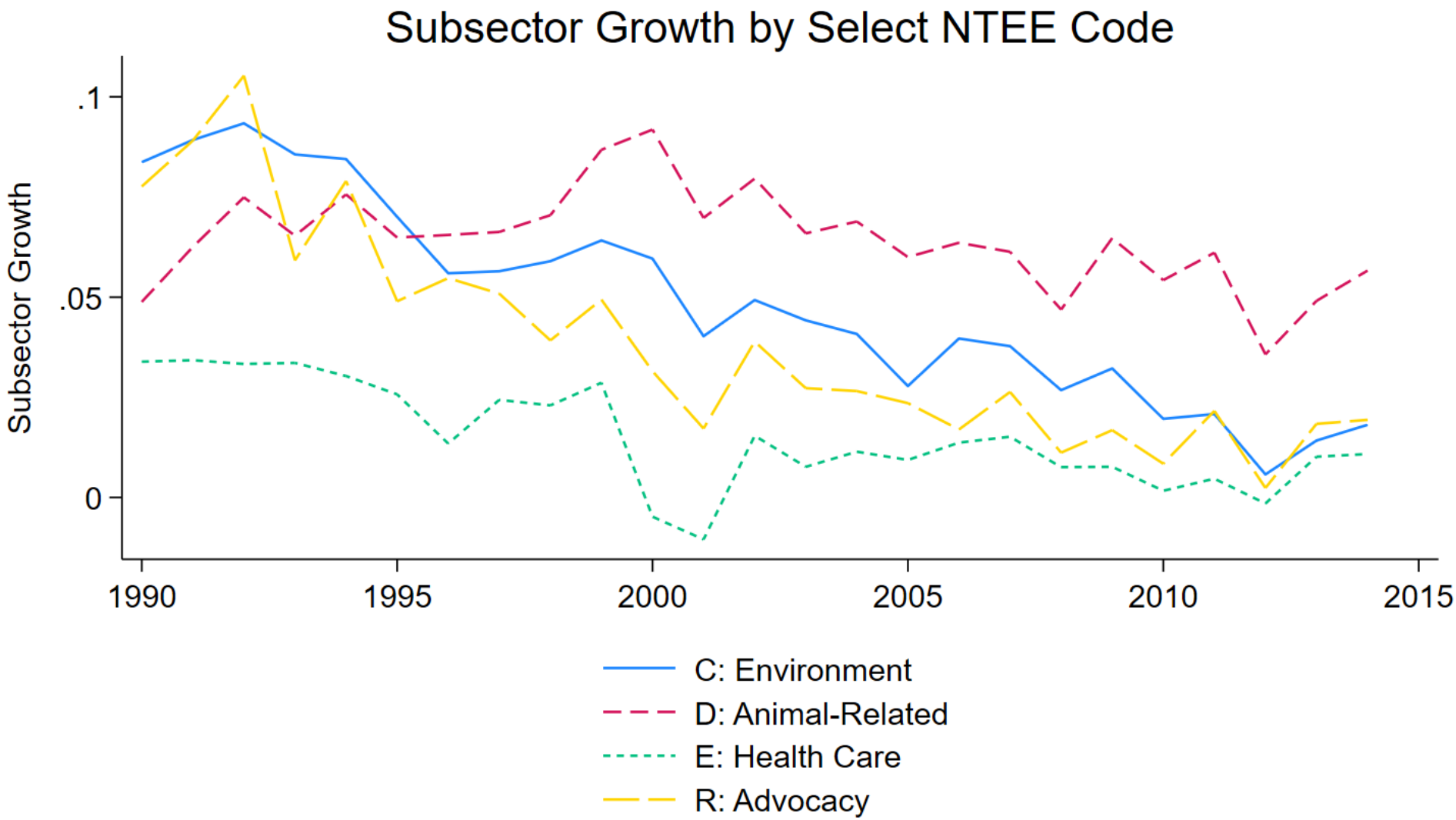
Entry by Select NTEE



Exit by Select NTEE



Growth by Select NTEE



Social and Political Climate Impacts on Philanthropy

- Currently, trust in institutions are at an all time low, and that includes the nonprofit sector
- Philanthropy is largely a voluntary transfer payment between the wealthy to the poor
- Despite this, the sector continues to represent a large, diverse swath of the population
- The opportunity exists for the sector the respond to calls for social change through organizational actions – both internal and external

Economic Impact on Philanthropy

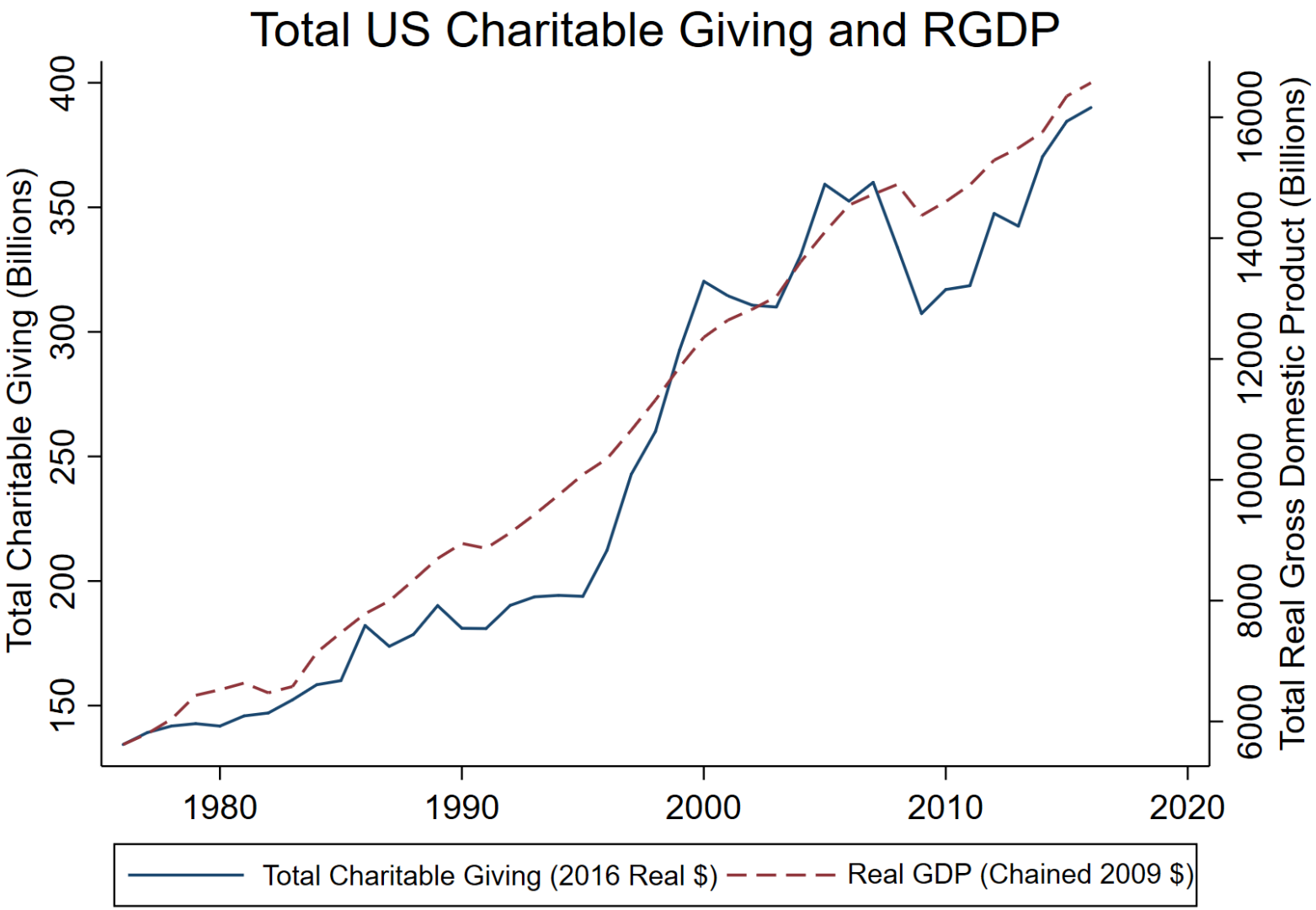


Table of Contents

1. The Personal Side of Philanthropy
2. The Philanthropic Context for Fundraising
3. The Theory of Fundraising
4. Using Marketing for Fundraising

Organizational Theories of Fundraising

- Systems Theory
  - Organizations operate in a "system"
  - Organizations isolated within its own environment is a "closed system"
  - Organizations influenced by social and economic trends and exchanges its resources within its community is an "open system"
- Resource Dependence Theory
  - For organizations to survive, they must maintain and acquire necessary resources
  - As such, organizations are not fully autonomous in decision making

Social Theories of Fundraising

- Gift Theory
  - Giving gifts is a universal aspect of human behavior
  - Receiving a gift generally prompts a social obligation for reciprocity
  - Therefore, gift giving can be considered more of a social exchange
- Identification Theory of Care – Individuals are more likely to care for those who they are most familiar with and have the closest center for care
- Social Identity Theory – The sharing of a "social identity" results in individuals identifying other individuals as a part of their group
- Co-Orientation Theory – People spending time together tend to find points of agreement and share many priorities

Applications of Theory

- Fundraisers need to incorporate an understanding of the importance of first impressions into their work
- Fundraisers need to actively frame situations to suggest a plan for cooperative action
- Fundraiser, the organization, and the clients benefiting from cooperative action must all be seen as having character aligning with being worthy of support
- Fundraisers must be sensitive to prospective donors' likely reactions, seeing themselves as prospective donors to evaluate how a solicitation will be seen and if it will support a meaning that aligns with asking for cooperative action

Table of Contents

1. The Personal Side of Philanthropy
2. The Philanthropic Context for Fundraising
3. The Theory of Fundraising
4. Using Marketing for Fundraising

Difference Between Marketing and Fundraising

- There is a lot of overlap between marketing and fundraising; however, there is a key difference:
- Marketing is fundamentally transactional – it is built on mutual exchange
- Donations may have conditions applied; however, there are no direct return benefits expected from a donation
- Despite this key difference, many of the techniques used in fundraising are useful for marketing and vice-versa

What Nonprofits Market

- Nonprofits market a variety of different goods and services across the various different NTEE subsectors
- These include but are not limited to:
  - Services and programs
  - Goods
  - Experiences
  - Concepts
  - Group Benefits

How Nonprofits Market

- Nonprofit organizations have an incredible array of options to market themselves:
  1. Paid media – radio, TV, newspapers, billboards, etc
  2. Commercial media – Press releases, op-eds, blogs, podcast interviews
  3. Owned media – In-house publications
  4. Direct marketing – contacting individuals directly (mail, telephone, email, door-to-door, etc)
  5. Event marketing – Sponsored events (golf tournaments, 5Ks, etc)
  6. Social Media

Nonprofit Branding and Rebranding

- A brand is an organization's image, including all factors distinguishing an organization from its competition such as:
  - Reputation
  - Logo
  - Taglines
  - Fonts
  - Style
- A brand is a way to build trust through appearance, and is crucial in building donor trust
- Sometimes through time or crisis, a nonprofit will need to rebrand to change its image

Tools of Marketing

- Organizations of all types use the following general tools for marketing:
  1. Strategic marketing plan
  2. Marketing mix
  3. Environmental Analysis
  4. Persona (Demographic) Characteristics
  5. Communications and public relations

Strategic Marketing Plan

- The strategic marketing plan sets the general plan for the overall marketing strategy
- This establishes the following:
  - Overall goal of the plan
  - 3-5 specific and measurable objectives to achieve the goal
  - Establish the target audience
  - Establish best strategies to communicate with the target audience
  - Establishes tactics to meet the goals
  - Establishes the roles and responsibilities of personnel
  - Creates a step-by-step work plan
  - Estimates a budget
  - Considers how the goals will be evaluated

Marketing Mix

- The marketing mix lays out the characteristics of the services your organization offers:
- The "5 P's"
  - Product (service)
  - Price
  - Place
  - Promotion
  - Policy

Environmental Analysis

- Sometimes called a "SWOT" (strengths, weaknesses, opportunities, and threats) analysis
- Creates an understanding of how organization fits in with its external and internal environments
- 2x2 Matrix [Internal, External]x[Positive, Negative]
- Positive, Internal – Strengths
- Negative, Internal – Weaknesses
- Positive, External – Opportunities
- Negative, External – Threats

Persona (Demographic) Characteristics

- Personas are fictional (but typical) profiles of donors / customers /recipients
- Each persona represents a segment of your target market
- Each persona is based on the following items:
  - Demographic information: income, gender, age, religion, race/ethnicity, etc
  - Psychographic information: Values (political affiliation and religious affiliation), attitudes, opinions, lifestyle, personality, etc
  - Behaviors: Communication preferences, relationship to the nonprofit, donation history, etc.